SECTION 1 – Rodrique

All journal entries are in £'000.

Question 1 – Revenue from contract (12 marks)

The contract contains two performance obligations

- to supply and install a furnace; and
- to reline the furnace in five years' time.

The performance obligation to supply and install the furnace is performed by the end of September 2025 when installation was complete and the furnace was accepted by Fermina. Revenue relating to the furnace should be recognised at that date.

The obligation to reline the furnace is not satisfied by 31 January 2026 and no revenue relating to the lining should be recognised at that date.

The total price of £890,000, including the deposit, should be allocated to each performance obligation based on their relative stand-alone selling prices.

The expected cost plus a margin approach should be used to estimate stand-alone selling prices as these are not directly observable.

The revenue allocated to relining should be presented as a contract liability (non-current liabilities) as it represents amounts received from Fermina before Rodrique has satisfied its performance obligation.

	Cost	*Margin*	*Cost plus margin*
	£'000	*£'000*	*£'000*
Supply and installation of furnace	590	177	767
Relining	120	48	168
			935

Calculation of revenue and contract liability

		£'000
Supply and installation of furnace - revenue	(767/935) x £890k	730
Relining - contract liability	(168/935) x £890k	160
		890

Increase in contract liability = £160k - £50k = £110k

Note: this can also be calculated as revenue already recognised of £840k - £730k correct revenue to recognise.

JE 1	Dr	SPL – revenue	110	
	Cr	Contract liability		110
	Being adjustment to revenue and contract liability			

Total: 12 marks

Question 2 - Accounting for research and development costs (10 marks)

The criteria for capitalising development costs as an intangible asset were met on 1 July 2025, and therefore staff costs incurred in the research period, from April to June 2025 should be expensed as incurred.

IAS 16 states that depreciation can be included in the carrying amount of another asset. As it is depreciation on equipment used in the project, it is a directly attributable cost which is capitalised as part of the cost of the intangible asset.

Advertising costs cannot be capitalised as part of the intangible asset and should be recognised as an expense.

The intangible asset should be amortised from 1 December 2025 based on a useful life of six years.

	£'000
Staff costs - £640k x 5/8	400
Depreciation	112
Testing prototype	62
Revised intangible asset cost	574
Recognised	942
Reduction	368

JE 2	Dr	SPL – cost of sales	368	
	Cr	Intangible assets		368
		Being adjustment to intangible asset		

Amortisation = £574k x 2/72 months = £16k

JE 3	Dr	SPL – cost of sales	16	
	Cr	Intangible asset – acc. amortisation		16
		Being amortisation of intangible asset		

Total: 10 marks

Question 3 - Accounting for bank loan (9 marks)

The bank loan is a financial liability measured at amortised cost.

The deduction of the arrangement fee from the initial loan liability is the correct accounting treatment for a financial liability measured at amortised cost.

The interest expense for the six months to 31 January 2026 should be calculated using the effective interest rate of 3.6% and added to the loan liability.

The interest paid should be deducted from the loan liability and removed from general and administrative expenses.

Interest expense = 3.6% x £3,960k = £143k

Interest paid = 3.5% x £4,000k = £140k

Increase in loan liability = £143k - £140k = £3k

JE 4	Dr	SPL – interest expenses on borrowings	143	
	Cr	Loan liability		3
	Cr	SPL – general and administrative expenses		140
	Being the correction to the interest expense			

Total: 9 marks

Question 4 - SPL (4 marks)

Rodrique Ltd
Statement of profit or loss for the year ended 31 January 2026

	Draft	JE 1	JE 2	JE 3	JE 4	Total
	£'000	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*
Revenue	14,640	(110)				14,530
Cost of sales	(8,320)		(368)	(16)		(8,704)
Gross profit	**6,320**					**5,826**
Other operating income	23					23
Selling expenses	(470)					(470)
General and administrative expenses	(748)				140	(608)
Operating profit	**5,125**					**4,771**
Profit before financing and income taxes	**5,125**					**4,771**
Interest expenses on borrowings	(335)				(143)	(478)
Profit before income taxes	**4,790**					**4,293**
Income tax expense	(872)					(872)
PROFIT	**3,918**					**3,421**

Total: 4 marks

Question 5 - Directors' remuneration (4 marks)

The gross salary of £105,000 is received in return for services as a director of Rodrique and should be included in directors' remuneration.

Pension contributions made by the director are not an additional form of remuneration. They are deducted from the gross salary before the net payment is made to the employee and are therefore part of the gross salary figure of £105,000.

The value of share options granted is not part of remuneration. Information regarding share options granted is not included in the directors' remuneration disclosure note.

Employer's national insurance contributions are not part of directors' remuneration as they are an expense of the company.

Total: 4 marks

SECTION 2 – Arie

All journal entries are in £'000.

Question 6 – Impact of each acquisition of shares (9 marks)

	Shares acquired	*Cumulated shares acquired*	*Cumulative % shareholding*
1 March 2025	100,000	100,000	2.5%
1 April 2025	2,300,000	2,400,000	60%
1 November 2025	400,000	2,800,000	70%

Acquisition on 1 March 2025

A 2.5% shareholding is a simple investment which will not give significant influence or control over Champlain

The investment will be accounted for as a financial asset under IFRS 9 in Arie's consolidated financial statements.

Acquisition on 1 April 2025

A 60% shareholding means that Arie can be assumed to control Champlain from 1 April 2025, and Champlain will be consolidated from that date with a non-controlling interest (NCI) of 40%.

The shares acquired on 1 March 2025 will be remeasured to their fair value at the date control is acquired i.e. £4.20 per share 1 April 2025 in Arie's individual financial statements and the fair value will be included in consideration when calculating goodwill.

Acquisition on 1 November 2025

The increase in shareholding from 60% to 70% means that Champlain remains a subsidiary and will continue to be included in the consolidated financial statements but the non-controlling interest in Champlain decreases from 40% to 30% from 1 November 2025.

The cost of the additional shares acquired on 1 November 2025 will be compared to the additional 10% of the net assets of Champlain acquired with any difference recorded in equity (retained earnings).

Total: 9 marks

Question 7: Consolidation journal entries (24 marks)

Step 2 – goodwill and NCI at the date acquisition

		£'000
Consideration at date control was obtained	2,300k x £4.20	9,660
Fair value of previous holding	100k x £4.20	420
Consideration		10,080

	£'000	*£'000*
Consideration		10,080
NCI – 40% x £12,680k		5,072
		15,152
Net assets acquired:		
Share capital	4,000	
Retained earnings	8,680	
		12,680
Goodwill		2,472

JE 1	Dr	Share capital	4,000	
	Dr	Retained earnings	8,680	
	Dr	Goodwill	2,472	
		Cr NCI (SOFP)		5,072
		Cr Investment in Champlain		10,080
	Being goodwill and NCI on acquisition			

Shares acquired on 1 November 2025

	£'000
Consideration	1,900
Net assets acquired = 10% x (£4,000k + £9,100k)	1,310
Loss on acquisition	590

JE 2	Dr	NCI (SOFP)	1,310	
	Dr	Retained earnings	590	
		Cr Investment in Champlain		1,900
	Being acquisition of additional shares in Champlain			

Step 3 – N/A

Step 4 – N/A

Step 5 – NCI share of profits for the current year

		£'000
1 April – 31 October	40% x (7/12 x £720k)	168
1 November – 31 January	30% x (3/12 x £720k)	54
Total		222

JE 3	Dr	SPL – NCI	222	
	Cr	NCI (SOFP)		222
		Being NCI share of profit for the year		

Step 6 – adjustment for transfer of machine

Gain on sale = £210k - £160k = £50k

JE 4	Dr	SPL – general and administrative expenses	50	
	Cr	PPE		50
		Being elimination of gain on sale of machinery		

NCI share of gain = 30% x £50k = £15k

JE 5	Dr	SOFP – NCI	15	
	Cr	SPL – NCI		15
		Being NCI of elimination of gain on sale of machinery		

	£'000
Depreciation after transfer (£210k / 4) x 2/12	9
Original depreciation (£40k x 2/12)	7
Reduction in depreciation	2

JE 6	Dr	PPE	2	
	Cr	SPL – general and administrative expenses		2
		Being reduction in depreciation		

Outstanding intercompany receivable/payable: 30% x £210k = £63k

JE 7	Dr	Payables	63	
	Cr	Receivables		63
	Being elimination of intercompany balances			

Final Step

	£'000	
JE 3	222	Dr
JE 4	50	Dr
JE 5	(15)	Cr
JE 6	(2)	Cr
	255	Dr

JE 8	Dr	Retained earnings	255	
	Cr	SPL		255
	Being transfer of adjustments to profit or loss			

Total: 24 marks

Question 8 - CSOFP extract (4 marks)

Arie plc

Consolidated statement of financial position as at 31 January 2026 (extract)

	Draft	JE 1	JE 2	JE 3	JE 5	JE 8	Total
Equity	*£'000*	*£'000*	*£'000*	*£'000*	*£'000*	*£'001*	*£'000*
Share capital	23,000	(4,000)					19,000
Share premium	4,000						4,000
Revaluation surplus	3,780						3,780
Retained earnings	23,670	(8,680)	(590)			(255)	14,145
	54,450						40,925
Non-controlling interest	2,100	5,072	(1,310)	222	(15)		6,069
Total equity	56,550						46,994

Total: 4 marks

Question 9: Joint arrangement (5 marks)

Classification of investment

The investment in Planter is a joint arrangement since there are two or more parties which have joint control.

The maximum percentage holding that two investors can achieve is 80%, which does not meet the 85% threshold under the terms of the contractual arrangement.

As such, all three investors have joint control over Planter.

Planter is a joint venture as Arie, Bitan and Delton have rights to the net assets of Planter.

Total: 5 marks

SECTION 3 – Eco

Question 10 – Restructuring provision (6 marks)

a) Is it a restructuring?

IAS 37 states that a restructuring is a programme that is planned and controlled by management that materially changes the scope or manner of business.

Eco's plan involves significant changes including closing one dyeing unit, upgrading existing facilities and making investments in new technologies. This is likely to meet the definition of restructuring, as it is expected to have a material effect on Eco's operations.

b) Why should a provision not be recognised

Under IAS 37, a provision for restructuring is only recognised when there is a present obligation as a result of a past event.

A constructive obligation to restructure arises only when:

- There is a detailed formal plan for restructuring, and
- Those affected have been informed or a valid expectation has been created.

In the case of Eco, although the board has approved a plan, the affected parties, being Eco's employees, have not been informed.

Therefore, no constructive obligation has yet arisen, and a restructuring provision should not be recognised.

Total: 6 marks

Question 11 – Ethics (5 marks)

Ethical issues

The finance director has insisted that a restructuring provision is included in the financial statements for the year ended 31 December 2025, even though the criteria under IAS 37 are not met to signal to stakeholders that sustainability is being taken seriously.

Integrity

This is a clear threat to integrity, as misrepresenting information in the financial statements is dishonest.

Objectivity

The finance director is showing a lack of objectivity by implying that a bonus will not be paid if there is non-compliance, which is a form of undue influence.

Professional competence and due care

The finance director has stated that a provision must be recognised irrespective of the requirements of IAS 37, which is not in keeping with the requirement to act in accordance with technical and professional standards.

Professional behaviour

The finance director is showing an unwillingness to comply with accounting standards, and her approach and attitude displays conduct that might discredit the profession.

Total: 5 marks

Question 12 – GRI 303-5 evaluation (8 marks)

The draft 2025 sustainability report partially complies with requirements and recommendations of GRI 303-5 but omits key disclosures necessary to ensure compliance and be useful to stakeholders.

GRI 303-5 a - requirement partially met

The report includes aggregated data for total water consumption across operations of 2.0 million cubic meters, which addresses the requirement of GRI 303-5a, but is a different unit of measurement to that required in the standards (megalitres).

GRI 303-5 b - requirement partially met

The sustainability report identifies two facilities in water-stressed regions and states these facilities make up 20% of total water consumption. This partially addresses the requirement of GRI 303-5b but using a percentage, rather than the actual volume of water consumed.

GRI 303-5 c - requirement met

Eco states that it does not hold significant water storage and therefore does not report any changes in storage volumes. A suitable explanation, with quantitative measures, has been disclosed to evidence the point. Therefore, it does meet the requirements of GRI 303-5c.

GRI 303-5 d - requirement not met

The report does not provide contextual information, such as the standards, methodologies, and assumptions used to calculate the aggregated water consumption figures and therefore does not meet the requirements of GRI 303-5d.

Recommendations for compliance

Eco should disclose any quantitative measure in accordance with prescribed measurement basis under GRI 303-5, such as the total water consumption in megalitres rather than cubic meters as required by GRI 303-5a.

Eco would improve transparency in water-stressed regions by providing total water consumption figures, as required by GRI 303-5b.

Credibility could be enhanced by providing detailed contextual information, including the standards, methodologies, and assumptions used to calculate water consumption figures, as required under GRI 303-5d. Transparency in data calculation is essential to meet stakeholder needs.

Total: 8 marks

END OF SOLUTION